

Growth potential in India's dairy sector

Industries in all sectors must make use of 'advantage India'. As the fastest growing economy in the world, India is the largest producer of several agri commodities. It is the second-largest consumer market and has a highly skilled manpower pool. More importantly, proactive government policies and significant investments happening in world class ports, logistics and supply chain infrastructure are helping the industry immensely.

With great potential, India is among the largest and fastest growing markets in the world. A huge bovine population has helped to position India in the top position in milk production globally. However, the full potential of the Indian milch herd still remains unattained.

As per the 'Basic Animal Husbandry Statistics 2022', the per capita availability of milk was 444 gm/day in 2021-22, which increased by 17 gm/day over the previous year.

Changing lifestyle patterns, increasing disposable incomes and increasing health consciousness are the key growth drivers for milk and high-value milk products in India.

To tap the surging demand, most dairy players have entered the processed dairy segment with the introduction of products like ghee, flavoured yoghurt, etc.

The allied sectors with immense growth potential include new technology in value-added dairy products' processing, cold chain, innovation in packaging solutions, new product development for cattle feed, new veterinary care technology and cattle diagnostics services.

Dairy brands can also explore new product development in dairy

products like cheese, smoothies, flavoured milk, custard, yoghurt and other ethnic Indian products.

The way forward

With our ever-increasing population, it goes without saying that we have to increase our productivity. Sustainable development in the dairy industry is the only way forward.

Priority must be given for developing livestock policy. Medicines and vaccine supply should be made available. Formal credit must be

competitiveness' path of such brands is garnering attention. Innovative products, innovative marketing, popular brands and technologically advanced systems are enough to craft a success story.

Younger brands can use extensive research, best of technology and innovation to stabilise their business. They can start with a focus on one specific region, ensuring that they offer high-quality products or services. They can then gradually expand. Scale of operations, finance, technology and marketing methods are the four important aspects that they have to focus on.

Entrepreneurs should understand that brands are their biggest assets and that will take at least eight to nine years for the brands to stabilise. They must be patient during the waiting period.

The growth of the company has to happen organically at each of its stages. It is good to stick to the core business, instead of going ahead

with the usual conglomerate diversification strategy and get into unrelated businesses. Some of my tips for budding entrepreneurs are: be a change initiator and product differentiator, be thrifty and focussed on core businesses, reinvest profits from the business for its growth and never use it for accumulating personal assets. Creating economic moats to gain competitive advantage and market share is another tip that can be followed. **BT**

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given for animal purchase. Informal loans for animal purchase or other dairy needs should be given. There has to be a fool-proof profitable system in place for dairy farmers in terms of marketing, processing and retailing.

Technology trends

Over the next few years, I expect phenomenal growth in traditional industries like manufacturing and agriculture. More and more start-ups are leveraging technology to turn their products and services into brands. The start-up ecosystem is directing India's growth graph. The impressive 'complacency to

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